Ans : (a) Judicial review is a process under which executive and legislative action are subject to review by the judiciary. The power of courts to assess whether a law is in compliance with the constitution. A court with judicial review power may invalidate laws and decisions that are incompatible with a higher authority, an executive decision may be invalidated for being unlawful or a statue may be invalidated for violating the terms of a written constitution. Judicial review is one of the checks and balances in the separation of powers, the power of the judiciary to supervise the legislative and executive branches when the latter exceed their authority. The doctrine varies between jurisdictions, so the procedure and scope of judicial review may differ between and within countries.

• Election Commission, Official Language

40. Consider the following statements:

1. The Election Commission of India is a five–member body.
2. Union Ministry of Home Affairs decides the election schedule for the conduct of both general elections and bye–elections.
3. Election Commission resolves the disputes relating to splits/mergers of recognised political parties.

Which of the statement given above is/are correct?

(a) 1 and 2 only (b) 2 only
(c) 2 and 3 only (d) 3 only

Ans : (d) Election Commission of India is a 3 member body, comprising one chief Election commissioner and 2 other Election commissioners. It is the Election commission which decides the election schedule for both general elections bye-elections. It is also the function of election commission to resolve the disputes relating to splits/mergers of recognised political parties.

• Panchayati Raj System, Constitutional Amendments and Schedules

41. Which principle among the following was added to the Directive Principles of State Policy by the 42nd Amendment to the Constitution?

(a) Equal pay for equal work for both men and women
(b) Participation of workers in the management of industries
(c) Right to work, education and public assistance
(d) Securing living wage and human conditions of work to workers

Ans : (b) The 42nd Amendment Act of 1976 added four new Directive Principles to the original list. They require the state–

(i) To secure opportunities for healthy development of children (Article 39A)
(ii) To promote equal justice and to provide free legal aid to the poor (Article 39A)
(iii) To take steps to secure the participation of workers in the management of Industries (Article 43A).
(iv) To protect & improve the environment and to safeguard forests and wildlife (Article 48 A).

42. Local self–government can be best explained as an exercise in

(a) Federalism
(b) Democratic decentralization
(c) Administrative delegation
(d) Direct democracy

Ans :(b) The main purpose of democratic decentralization however is to bring fundamental changes in the traditional outlook about the power structure of the government. Thus democratic decentralization means decentralization of powers. The source from which this power is decentralized in based on the democratic structure and hence, such decentralization is called the democratic decentralization.

ECONOMY

• Economic Planning, National Income/ Budget

43. Consider the following statements:

1. Tax revenue as a percent of GDP of India has steadily increased in the last decade.
2. Fiscal deficit as a percent of GDP of India has steadily increased in the last decade.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans : (d) Service tax, personal income tax and corporation tax have been reduced in the recent past to boost aggregate demand. So as to protect the economy from the global recession. Excise duty rates have been reduced in the recent past to boost aggregate demand. So as to protect past from boosting the economy from global recession hence tax revenue as a percent of GDP of India has steadily not increased in the last decade. Hence statement 1 is not correct. The Fiscal Deficit as a percent of GDP of India has not steadily increased in the last decade. Hence statement 2 is not correct.

44. Which of the following has/have occurred in India after its liberalization of economic policies in 1991?

1. Share of agriculture in GDP increased enormously.
2. Share of India's exports in world trade increased.
3. FDI inflows increased.
4. India's Foreign exchange reserves increased enormously.

Select the correct answer using the codes given below :

(a) 1 and 4 only (b) 2, 3 and 4 only
(c) 2 and 3 only (d) 1, 2, 3 and 4

Ans : (b) Statement 2, 3 and 4 in question are true after liberalization of economic policies 1991 in India share of India's exports in world trade increased and FDI inflows as well as foreign exchange reserves increased whereas statement 1 is false because the share of agriculture in GDP is decreased and not increased. While the share of agriculture in GDP was 23% in the year 2000, the share of agriculture in GDP has come down to 17% in the year 2015. At present (2016-17), the share of agriculture and allied sector in various sectors in GVA is 17.77% at constant prices and 19.41% at prevailing prices. The share of exports in foreign trade in the year 2016-17 and 2017-2018 is 276280.3 (+5.33%) and 302840 (9.78%) respectively. Foreign direct investment (FDI) equity inflows are as follows:

2017–18 (April-December)	–	35.941 billion dollar
2016–17	–	43.478 billion dollar
2015–16	–	46.403 billion dollar
2014–15	–	39.328 billion dollar
2013–14	–	28.75 billion dollar

As of April 13, 2018, the total foreign currency assets are 400.978 billion dollar.

45. With reference to 'National Investment and Infrastructure Fund', which of the following statements is/are correct?

1. It is an organ of NITI Aayog.
2. It has a corpus of ₹4,00,000 crore at present.

Select the correct answer using the code given below:

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans : (d) National Investment and Infrastructure Fund (NIIF) is the fund created by the government of India for enhancing infrastructure financing in the country. Its creation was announced in the union budget 2015-16. Governing Council of NIIF is an advisory body chaired by the finance minister. It is not an organ of NITI Aayog. Hence statement 1 is not correct. The proposed corpus of NIIF is Rs. 40,000 crores (around USD 6 billion). Hence, statement 2 is also not correct.

• Money/ Banking & Tax System, Financial Relation of Center- State

46. Consider the following statements:

1. National Payments Corporation of India (NPCI) helps in promoting the financial inclusion in the country.
2. NPCI has launched RuPay, a card payment scheme.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans : (c) Statement 1 : NPCI is an umbrella organisation for all retail payments system in India. Thus an important objective of NPCI is to facilitate an affordable payment mechanism to benefit the common man across the country and help financial inclusion.
Statement 2 : Rupay is a domestic card payment network that provides an alternative to international card schemes. It was introduced by NPCI.

47. What is/are the most likely advantages of implementing 'Goods and Services Tax (GST)'?

1. It will replace multiple taxes collected by multiple authorities and will thus create a single market in India.
2. It will drastically reduce the 'Current Account Deficit' of India and will enable it to increase its foreign exchange reserves.
3. It will enormously increase the growth and size of economy of India and will enable it to overtake China in the near future.

Select the correct answer using the code given below:

(a) 1 only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans : (a) GST is one indirect tax for the whole nation which will make India one unified common market. Hence statement 1 is correct.
There is no information which says GST will drastically reduce the CAD of India. Neither it is true that it will enable India to take over china. Hence, statement 2 and 3 are not correct.

48. Which of the following statements is/are correct regarding the Monetary Policy Committee (MPC)?

1. It decides the RBI's benchmark interest rates.
2. It is a 12–member body including the Governor of RBI and is reconstituted every year.
3. It functions under the chairmanship of the Union Finance Minister.

Select the correct answer using the code given below :

(a) 1 only (b) 1 and 2 only
(c) 3 only (d) 2 and 3 only

Ans : (a) The Reserve Bank of India Act, 1934 (RBI Act) has been amended by the Finance Act, 2016 to provide for a statutory and institutionalized frame work for a monetary policy committee it would be entrusted with the task of fixing the benchmark policy rate (repo rate) required to contain inflation within the specified target level. Hence statement 1 is correct. As per the provisions of the RBI Act, out of the six members of the Monetary Policy Committee, three members will be from the RBI and the other three members of MPC will be appointed by the central government. Hence statement 2 is not correct. The Governor of the Bank-ex office chairperson of MPC. Hence statement 3 is not correct.